

END OF INTERCHANGE
political questions. I believe in other countries similar efforts were underway, so that no doubt was a world phenomenon.

Professor Krauch ^{THEN} recalled discussing the matter with a Wehrmacht war-scientist. I talked about how unnecessary I considered such plans, and to my great astonishment I found in publications a confirmation of what he had told me. That is, that long before 1935, exactly the same things had been done in the United States - - air-raid precautions, air corps mobilization, and transfer of factories - - exactly the same demands which were made of us by military economy.

But a line between armament needs and peacetime needs could not be drawn because, as you stated, many products which were discussed in the Four Year Plan were necessary in the same way for peacetime usages.

That is exactly what I meant...the products which we were producing were all used in peacetime. So, perhaps we could designate them with an expression that was in usage in the United States:

'Commercial armament products!'

Professor Doctor Krauch, you once initiated the thought, concerning your motives, that foreign examples had been decisive. Could you perhaps name a few American people whom you used as an example?

Let me remind you of the names of General Johnson and Bernard Baruch. This is the same Baruch who is now working on the international control of the atom bomb and is making proposals in that connection....Always my attitude was that this was a Plan which would have come into being even if there had been no rearmament whatever. Its main purpose in the final analysis was the settlement of the currency balance.

((6 SPACES))

Well, who was this Professor: a Bernard Baruch with a war-mobilization on his hands before there was any threat of war, or a General Johnson executing a planned military-economy without an Army